Rent the Runway expands into rotational luxury home decor rental

Rent the Room

Current State - The Industry & Company

Industry Overview: The online clothing rental services market has a market size of **$1.92 billion as of 2025** and is expected to grow to **$2.9 billion in revenue by 2034**. Revenue is earned through subscriptions and per-item rental fees and the main costs include inventory, maintenance, operational expenses, shipping, marketing, and transaction fees.

Market Saturation:
- Fashion rental market has become increasingly competitive with new entrants and existing retailers launching and expanding into rental services

Market Volatility:
- Aggressive trade policies and tariffs leading to economic uncertainty and market instability across the economy impact consumer spending behavior, investor confidence, and rental companies' ability to invest in growth initiatives

Financial Instability:
- Despite consistent revenue growth, RTR has reported a pattern of net losses, raising concerns of long-term financial viability

Slow Subscriber Growth:
- Business model relies on growing subscriber base. Active subscribers have only increased 0.5% year over year

Operational Challenges
- Criticism over inventory shortages, declining product quality, customer service issues

FY24 Company Metrics Summary

While # of active subscribers and Total Revenue showed positive growth, RTR's profit continued to plummet. Net Loss for FY 2024 alone is … **$69.9M**

TOTAL REVENUE	ACTIVE SUBSCRIBERS	TOTAL SUBSCRIBERS
$306.2M Up 3% YoY	119.8K, Down 5% YoY **AVERAGE ACTIVE SUBSCRIBERS** 132.6K, Down 2% YoY	164.0K Down 5% YoY
GROSS PROFIT / MARGIN	**NET LOSS / MARGIN**	**ADJ. EBITDA / MARGIN**
$115.9M / 38% Margin down 2 pts YoY	$(69.9)M / (23)% Margin up 15 pts YoY	$46.9M / 15% Margin up 6 pts YoY

Strategic Direction of Rent the Runway

Rent the Runway's core competencies include reverse logistics expertise, inventory and utilization management, data-driven recommendations and personalization, partnerships with designers, and sustainability and circular fashion leadership.
These core competencies have shaped the strategic direction of the firm over the past 4 years with a focus of sustainability, growth, and cost cutting at the forefront.

2021

IPO + Subscription Pivot

Rent the Runway went public in October 2021 and transitioned from occasion-based rentals to a subscription-first model. Company investments in reverse logistics, warehouse automation, and data infrastructure for inventory management. Brand image focused on sustainability.

2022

Expanding Access & Flexibility

Rent the Runway focused on reaching a larger customer base by acquiring Gen Z and Millennial renters, providing mid-tier brands, everyday wear, and introducing flexible subscription plans. The company expanded into plus-size items, maternity options. Encouraged reuse of rented garments.

2023 & 2024

Cutting Costs & Pushing Profitability

Rent the Runway shifted focus from hypergrowth to a path to profitability by consolidating existing resources. Improved margins through warehouse restructuring and layoffs. The company limited item swaps and reduced SKUs that didn't rent well.

2025 and Beyond

Category Exploration & Reinvention

Rent the Runway is expanding into a "style as a service" platform and experimenting with categories adjacent to fashion with new focuses and influences in lifestyle and wellness. They are positioning themselves as a partner to brands that are focused on sustainability and reducing their environmental footprint.

RTR Living: Dress Your Space in Designer Style

What we recommend:

- Launch a curated home decor rental service
- Offer pre-styled bundles (ie., pillows + rugs + tableware) or individual items
- Focus on seasonal and event-based sets for both consumers and professionals
- Introduce as "RTR Living" under the brand umbrella

Why this works:

- Leverages RTR's core strengths: reverse logistics, sustainability, brand curation
- Use existing warehouse & shipping systems
- Extends RTR's ESG mission beyond fashion
- Forecasted $28.6M in home decor revenue by FY2029

Next Step: Launch RTR Living as a pilot in NYC & LA to test engagement and optimize logistics before full rollout.

Our Recommendation - Home Decor Rentals

1. Pre-styled decor looks that can be rented together (all pillows, rubs, lamps, wall art for a living room) or separately (rent individual pieces)
2. Small, high-impact decor items such as pillows, rugs, curtains, art/wall decor, candlesticks, vases, bowls, lamps, string lights, desk organizers, plant stands
3. Seasonal decor - Christmas wreaths, dining room centerpieces for Thanksgiving

B2C

Urban renters and millennials who move frequently and may want short term decor

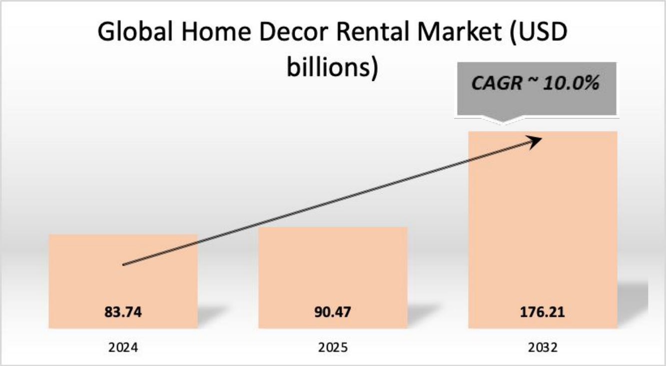
Extension of luxury lifestyle customers who are already using RTR for fashion

B2B

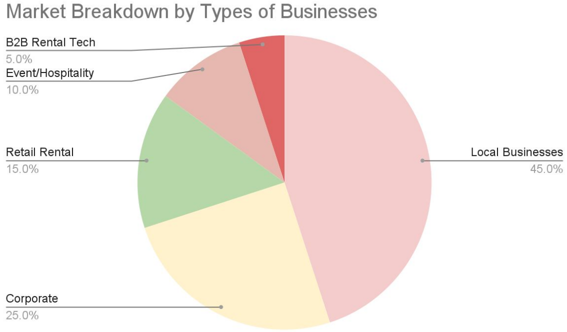
Target realtors and home stagers

Why Is the Home Decor Rental Market Attractive?

Home decor rental market
is expected to grow **10%**



Fragmented market allows for
significant growth potential



Market Attractiveness: Porter's Five Force Analysis

Rivalry	Buyer Power	Threat of Substitutes	Supplier Power	Threat of Entrants
Low	Moderate	High	Low	Moderate

Why is this Opportunity Attractive for RTR?

Total Value Created

Legend

- Consumer Surplus
- Producer Surplus
- Cost

Value Creation Buying vs. Rental

	Traditional Home Decor Buying Model	Home Decor Rental Model
Consumer Surplus	High sunk cost for short term usage and reduced value over time	Reduces ownership burden and increases utility over time
Producer Surplus	One time purchase and high acquisition cost for repeat business	Revenue earned repeatedly on same product leading to higher CLV and lower CAC
Cost	Lower cost	Cost per rental amortized over multiple uses (lower unit cost)

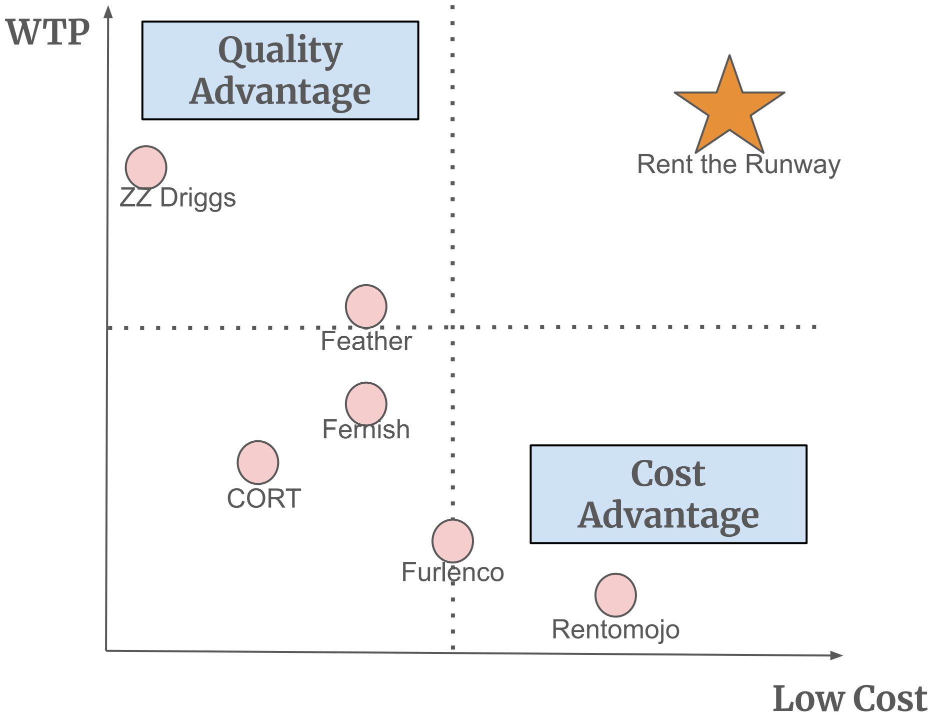
Value Creation for RTR Vs. Main Competitor

	CORT	RTR
Consumer Surplus	Decor not personalized and only produces functional utility	Emotional and aesthetic utility; more perceived value over time
Producer Surplus	Lower item turnover due to longer rental cycles	High turnover and repeat usage increases CLV without new acquisition
Cost	High cost due to bulky item logistics	Shared logistics with clothing rental leads to cost efficiencies

Why is this Opportunity Attractive for RTR?

	RTR's Core Competencies & Assets	Application to Home Decor Rental
01	Reverse Logistics & Cleaning Infrastructure	RTR can efficiently manage decor returns, quality checks, cleaning, and repackaging with existing infrastructure for clothing
02	Warehouse & Inventory Management Systems	RTR can store, track, and rotate small-to-medium sized home decor items using same system for managing clothing items and limited need for additional storage space when dealing with small, lightweight items
03	Subscription Platform & App	Home decor can be added as a new category in the existing customer experience/interface making it easy to cross-sell and up-sell
04	Existing Subscriber Base	Home decor will be marketed to current customers with high brand loyalty to minimize customer acquisition cost
05	Brand Recognition & Sustainability Positioning	RTR can use its fashion credibility to win trust in curated home design and the company's current sustainability leadership can easily translate into messaging around low-waste living

Competitive Advantage & Positioning



Competitive Advantage:

1. **Differentiation advantage**
   a. Style authority translates to credibility in home aesthetic
   b. Data-driven recommendations for home decor based on past clothing rentals
   c. Packaging decor with fashion helps RTR establish themselves as a lifestyle brand

2. **Cost leadership**
   a. Shared logistics and infrastructure allows RTR to process decor items at a lower cost with existing workflows
   b. Focus on high-turnover, lightweight, low-breakage items to reduce shipping, cleaning, storage costs
   c. Proven model for reusing inventory drastically lowering cost per use

Financial Analysis - Revenue streams

3 kinds of revenue stream that RTR can monetize the platform

Current fashion customers base is **141K active subscribers** estimated for 2025 with growth rate of 5%. Roughly 20% are potential home decor subscribers, **27K**. New subscribers are around **3K**

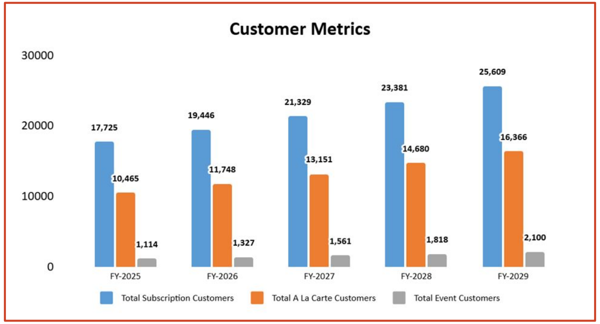
Revenue Streams		
Stream	**Description**	**Pricing Range**
Subscriptions	Monthly decor box (3–5 curated items, thematic)	$79-$129/month
A La Carte	Short-term rentals (6-8 months) for pillows, rugs, table sets, lamps	$30-$70/item
Event Set	Rentals for realtors (home staging), Airbnb hosts, corporate/event décor	$400-$900/set

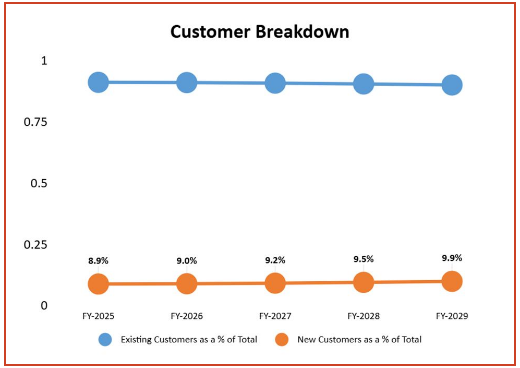
Customer Layout		
Stream	**Description**	**Assumption**
Through existing base	We aim to persuade the existing active customer base to join the home décor platform	We assume that the conversion would be around 12%, 7% and 0.75% for Subscriptions, A La Carte and Event set respectively. Further, this rate would be growing as the platform gains popularity
New Customer Base	We aim to use the brand image of RTR to attract new customers	We start with conservative assumptions based on home décor rental popularity and grow the customer base with time.

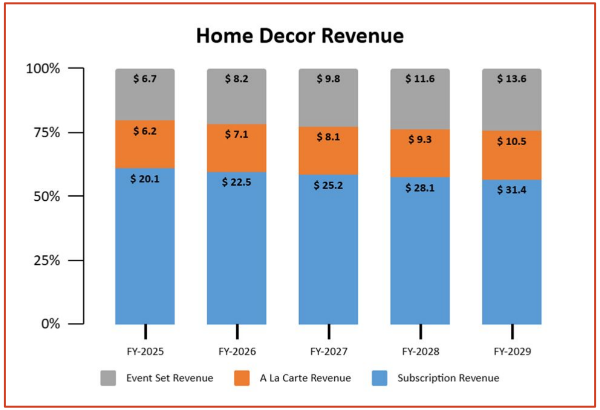
Financial Analysis - Revenue streams

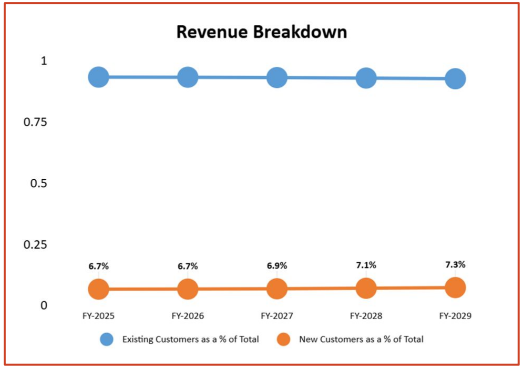
Revenues from Subscription customers accounts for 55%, followed by Event - 20%, and A La Carte - 18%

Customers leveraged from the fashion customer base are the primary source (27K, 90%), new customers are estimated to be 3K (10%)



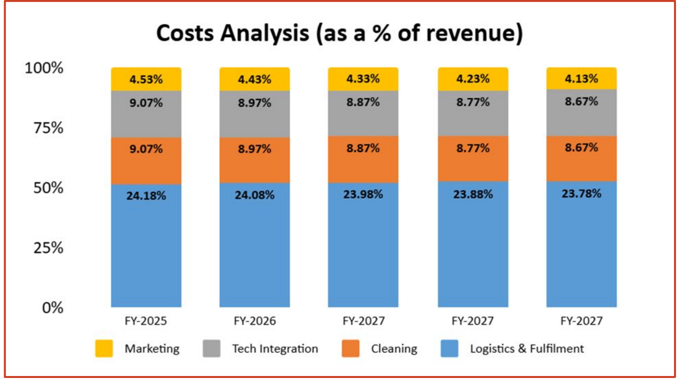


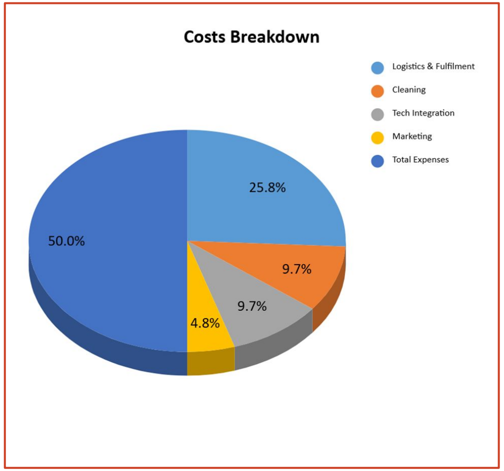




Financial Analysis - Cost structures

Cost Layout	
Cost Head	**Assumption**
Logistics & Fulfilment	~24% of Revenues. We expect to derive synergies from the existing network
Cleaning	~9% of revenues. Expected to improve cost efficiency with time.
Tech Integration	~9% of revenues. Focussing on integration with existing tech available
Marketing	~4.5% of Revenues. Major focus would be business customers and new customer acquisition
Rental Product Depreciation	~25% of Revenues.
Other	~13% of Revenues.





Financial Analysis - Profit

The Operating profit and Free Cash Flow for the period 2025-2029 are positive
With Weighted Average Cost of Capital (WACC) of 10%, the NPV of the project
is estimated to be **$51M**

Year	Operating Profit	Free Cash Flow
2025	$4.6M	$3.9M
2026	5.5	4.7
2027	6.5	5.7
2028	7.7	6.8
2029	9.0	8.1

Inventory Procurement (millions)	$ 20.0
Other Capital Investment (millions)	$ 15.0
Cost of Capital	10.0%
Growth rate	2.0%
Terminal Value (at 2029)	$ 103.8
PV of FCFs	$ 21.5
NPV of the project	**$ 51.0**

Risk Analysis & Non-Market Considerations

Market Fit & Demand Uncertainty

RTR's core customers are fashion-focused. It's unclear whether this audience would embrace renting home décor or office greenery with the same enthusiasm.

Brand Dilution

Moving into home and office rentals may confuse RTR's fashion-focused brand and weaken its identity.

Inventory Complexity & Logistics

Home goods and plants have different handling needs: larger items, fragile packaging, seasonal designs, and living inventory.

Operational Overhead & Cash Flow Strain

Launching a new vertical requires upfront investment in sourcing, technology, staffing, and marketing, which can strain resources.

Other considerations

- **Product Life Cycle & Damage Risk**
  Furniture and plants are more prone to visible wear, damage, or decay, which increases replacement and maintenance costs.
- **Sustainability & ESG Alignment**
  If execution isn't green (e.g., high transport emissions, plant waste), it could contradict RTR's sustainable brand.

Risks Mitigation

Market Fit & Demand Uncertainty

- Pilot Programs: Launch small-scale test markets (e.g., NYC, LA) to gather user feedback.
- Surveys & Data Analytics: Leverage RTR's current customer base to survey interest and preferences
- Cross-Promotions: Introduce home décor or plants as add-ons in current fashion rental subscriptions to test interest.

Brand Dilution

- Sub-Branding Strategy: Launch the new service under a distinct but affiliated label, e.g., RTR Living.
- Consistent Brand Values: Emphasize shared pillars (style, sustainability, access) across all verticals.
- Targeted Marketing: Different messaging and channels for fashion vs. lifestyle segments.

Inventory Complexity & Logistics

- Partner with Experts: Collaborate with existing home décor rental or plant maintenance firms for back-end support.
- Segmented Warehousing: Use separate logistics streams and inventory systems for lifestyle items.
- Standardized Design Packages: Limit SKUs by offering pre-set “collections” to simplify logistics and styling.

Operational Overhead & Cash Flow Strain

- Stage-Based Investment: Set clear success metrics for pilot programs before expanding.
- Third-Party Fulfillment: Outsource non-core functions initially to reduce capex.
- Revenue Forecasting Models: Build conservative cash flow scenarios to avoid overextending.

Q&A

Appendix – Financial Model

Operating Metrics	FY-2025	FY-2026	FY-2027	FY-2028	FY-2029
Existing Customer Metrics					
Existing Home Décor Subscribers	16,225	17,746	19,379	21,131	23,009
Existing A La Carte Customers	9,465	10,648	11,926	13,305	14,791
Existing Event Set Customers	1,014	1,207	1,416	1,643	1,890
Existing Home Décor Customers	**26,704**	**29,601**	**32,721**	**36,079**	**39,690**
New Customer Metrics					
New Subscribers	1,500	1,700	1,950	2,250	2,600
New A La Carte Customers	1,000	1,100	1,225	1,375	1,575
New Event Set Customers	100	120	145	175	210
New Home Décor Customers	**2,600**	**2,920**	**3,320**	**3,800**	**4,385**
Total					
Total Subscription Customers	17,725	19,446	21,329	23,381	25,609
Total A La Carte Customers	10,465	11,748	13,151	14,680	16,366
Total Event Customers	1,114	1,327	1,561	1,818	2,100
Home Décor Customers	**29,304**	**32,521**	**36,041**	**39,879**	**44,075**
Existing Customers as a % of Total	91.1%	91.0%	90.8%	90.5%	90.1%
New Customers as a % of Total	8.9%	9.0%	9.2%	9.5%	9.9%

Appendix – Financial Model

Revenue Metrics	FY-2025	FY-2026	FY-2027	FY-2028	FY-2029
Existing Customers Revenue (USD millions)					
Existing Customers Subscription Revenue	$ 18.5	$ 20.6	$ 23.0	$ 25.6	$ 28.4
Existing Customers A La Carte Revenue	$ 5.7	$ 6.5	$ 7.4	$ 8.5	$ 9.6
Existing Customers Revenue	$ 6.7	$ 8.1	$ 9.7	$ 11.5	$ 13.5
Existing Home Décor Revenue	**$ 30.9**	**$ 35.3**	**$ 40.2**	**$ 45.5**	**$ 51.5**
New Customers Revenue (USD millions)					
New Customers Subscription Revenue	$ 1.6	$ 1.9	$ 2.2	$ 2.6	$ 3.0
New Customers A La Carte Revenue	$ 0.5	$ 0.6	$ 0.7	$ 0.8	$ 0.9
New Customers	$ 0.1	$ 0.1	$ 0.1	$ 0.1	$ 0.1
New Home Décor Revenue	**$ 2.2**	**$ 2.5**	**$ 3.0**	**$ 3.5**	**$ 4.1**
Revenue (USD millions)					
Subscription Revenue	$ 20.1	$ 22.5	$ 25.2	$ 28.1	$ 31.4
A La Carte Revenue	$ 6.2	$ 7.1	$ 8.1	$ 9.3	$ 10.5
Event Set Revenue	$ 6.7	$ 8.2	$ 9.8	$ 11.6	$ 13.6
Total Home Décor Revenue	**$ 33.1**	**$ 37.8**	**$ 43.1**	**$ 49.0**	**$ 55.6**
Existing Customers as a % of Total	93.3%	93.3%	93.1%	92.9%	92.7%
New Customers as a % of Total	6.7%	6.7%	6.9%	7.1%	7.3%

Appendix – Financial Model

Cost Build	FY-2025	FY-2026	FY-2027	FY-2028	FY-2029
Operating Costs					
Logistics & Fulfilment	$ 8.0	$ 9.1	$ 10.3	$ 11.7	$ 13.2
Cleaning	$ 3.0	$ 3.4	$ 3.8	$ 4.3	$ 4.8
Tech Integration	$ 3.0	$ 3.4	$ 3.8	$ 4.3	$ 4.8
Marketing	$ 1.5	$ 1.7	$ 1.9	$ 2.1	$ 2.3
Total Costs	**$ 15.5**	**$ 17.6**	**$ 19.9**	**$ 22.4**	**$ 25.2**
Rental Product Depreciation	$ 8.5	$ 9.7	$ 11.0	$ 12.4	$ 14.1
Other	$ 4.5	$ 5.1	$ 5.8	$ 6.5	$ 7.3
Total Costs and Expenses	**$ 28.5**	**$ 32.4**	**$ 36.6**	**$ 41.3**	**$ 46.6**
Operating Costs (as a % of Revenues)					
Logistics & Fulfilment	24.2%	24.1%	24.0%	23.9%	23.8%
Cleaning	9.1%	9.0%	8.9%	8.8%	8.7%
Tech Integration	9.1%	9.0%	8.9%	8.8%	8.7%
Marketing	4.5%	4.4%	4.3%	4.2%	4.1%
Total Costs	**46.9%**	**46.5%**	**46.1%**	**45.7%**	**45.3%**
Rental Product Depreciation	25.7%	25.6%	25.5%	25.4%	25.3%
Other	13.6%	13.5%	13.4%	13.3%	13.2%
Total Costs and Expenses	**86.1%**	**85.5%**	**84.9%**	**84.3%**	**83.7%**

Appendix - Porter's Five Forces Analysis (Detailed)

Market Attractiveness: Porter's Five Force Analysis

Rivalry	Buyer Power	Threat of Substitutes	Supplier Power	Threat of Entrants
Low	Moderate	High	Low	Moderate

Rivalry — Low

- Few direct competitors offering short-term, small item decor rentals
- High-margin opportunity may attract competitors quickly

Buyer Power — Moderate

- Buyers have high sensitivity to value and visual quality
- Buy and return behavior is common in decor shopping
- Few options for renting curated home decor at scale which creates novelty for consumers

Threat of Substitutes — High

- Customers have the option to buy cheap, fast decor items from Ikea/Amazon, DIY decor, or order home/lifestyle subscription boxes
- Digital staging apps allow customers to virtual style their homes and test out furniture/home decor before buying
- Customers may prefer to own decor for hygiene, convenience, or resale

Supplier Power — Low

- There are a number of white-label and wholesale suppliers of home goods and decor brands
- Larger entrants can source from emerging and sustainable brands looking for more exposure

Threat of Entrants — Moderate

- Low capital requirements to launch decor subscription box (products sourced from existing retailers)
- Social media and influencer marketing make it easy to build followings quickly and define brand image
- Logistics, reverse supply chain, and styling technology of incumbents are hard to replicate